

ADAPTING TO SMALLER BATCHES

Before leaving the topic of building an adaptive organization, I want to introduce one more story. This one concerns a product that you've probably used if you've ever run your own business. It's called QuickBooks, and it is one of Intuit's flagship products.

QuickBooks has been the leading product in its category for many years. As a result, it has a large and dedicated customer base, and Intuit expects it to contribute significantly to its bottom line. Like most personal computer (PC) software of the last two decades, QuickBooks has been launched on an annual cycle, in one giant batch. This was how it worked three years ago, when Greg Wright, the director of product marketing for QuickBooks, joined the team. As you can imagine, there were lots of existing processes in place to ensure a consistent product and an on-time release. The typical release approach was to spend significant up-front time to identify the customers' need:

Typically the first three to four months of each annual cycle was spent strategizing and planning, without building new features. Once a plan and milestones were established, the team would spend the next six to nine months building. This would culminate in a big launch, and then the team would get its first feedback on whether it had successfully delivered on customers' needs at the end of the process.

So here was the time line: start process in September, first beta release is in June, second beta is in July. The beta is essentially testing to make sure it doesn't crash people's computers or cause them to lose their data—by that time in the process, only major bugs can be fixed. The design of the product itself is locked.

This is the standard “waterfall” development methodology that product development teams have used for years. It is a linear, large-batch system that relies for success on proper forecasting and planning. In other words, it is completely maladapted for today's